“Muthoot Finance Limited

Q1 FY27 Earnings Conference Call”

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Moderator: Ladies and gentlemen, good day, and welcome to the Muthoot Finance Q1 FY27 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Sanket Chheda from DAM Capital. Thank you, and over to you, sir.

Sanket Chheda: Yes. A very good afternoon to all of you. We are here to discuss Muthoot Finance Q1 results. For that, we have the entire management team with us, starting with Mr. George Alexander Muthoot, who is the Managing Director; and then we have four Whole-time Directors, Mr. Eapen Alexander, who is an Executive Director; Mr. K.R. Bijimon, who is an Executive Director; and Mr. Oommen Mammen who is CFO.

Without further ado, I'll hand the call over to the Managing Director, Mr. George Alexander Muthoot, for his opening remarks. We'll follow that up with question and answers. Over to you, sir.

George Muthoot: Thank you, Sanket. Good afternoon, ladies and gentlemen. A very warm welcome to all of you joining us today for Muthoot Finance Limited earnings call to discuss our financial performance for the first quarter ended 30th June 2026. I hope all of you and your families are doing well. Joining me on the call today are members of our senior management team. Our Chairman is there. Directors are also there. Joint Managing Director is also there. COO, Mr. Bijimon is also there and the CFO, Mr. Oommen is also there, and Bijimon is also there.

Before I delve into the quarter's operational and financial highlights, I want to express my gratitude to our customers, employees and stakeholders for their continued trust. We are honoured that Muthoot Finance continues to be recognized as India's number one most trusted financial service brand for the 10th consecutive year, along with being certified as a Great Place to Work for 5 consecutive years. These accolades demonstrate the strength of our legacy and our commitment to sustainable long-term stakeholder value.

I'm delighted to report that financial year '27 has started on a strong note, continuing the robust momentum seen in the previous quarters. Our consolidated loan AUM has expanded by 43% year-on-year, reaching INR191,000 crores as of June 30 compared to INR133,000 crores in June 2025. On a sequential basis, consolidated AUM grew by 5%. The consolidated profit after tax for Q1 financial year '27 delivered a 43% year-on-year growth, coming in at INR2,825 crores.

Stand-alone AUM or loan AUM registered a 43% year-on-year growth, reaching INR172,000 crores. And the stand-alone profit after tax reached INR2,550 crores, recording a growth of 25% year-on-year. The stand-alone income grew by 33% year-on-year to INR7,603 crores. Our return

metrics remain best-in-class with a stand-alone return on average assets of 6.09% and return of average equity of 26.6% during the quarter.

Capital adequacy remains comfortably well above the regulatory requirement of 20.3%. Our core Gold Loan business continues to demonstrate exceptional market demand and operating leverage. As I said, the consolidated Gold Loan AUM rose to INR175,000 crores and stand-alone Gold Loan AUM to INR163,000 crores, representing a 44% year-on-year increase.

Regarding new customer acquisition, during financial year '27, we disbursed INR8,937 crores in Gold Loans to over 482,000 new customers. This reinforces our strong customer retention and expanding reach. The active customer base expanded to 65.77 lakhs in June, adding over 163,000 active customers during the quarter, up from 64 lakhs in March '26. The branch productivity efficiency per branch improved significantly with average Gold Loan AUM per branch increasing by 40% year-on-year to INR32.47 crores per branch.

The asset quality remains stellar. Credit losses on gross loans stood at an absolute minimum of 0.05%. We expanded our physical presence during the quarter by adding 86 new branches across the group, taking our group branch network to 7,654. Our subsidiaries are also performing smoothly and accelerating our mission of building a diversified non-banking financial services.

Muthoot Money Limited witnessed exponential growth. Loan AUM grew by 111% year-on-year to INR10,550 crores, driven primarily by the strong growth of its Gold Loan portfolio. The total revenue surged 137% year-on-year to INR511 crores and profit after tax increased by 366% to INR172 crores. Asset quality improved further with Stage 3 assets declining to 0.67%. Belstar Microfinance showed strong recovery in profitability, delivering a profit after tax of INR66 crores for this quarter compared to a net loss in the corresponding quarter last year.

Loan AUM stood at INR7,842 crores as industry-wide stress moderated disbursement growth. Following the regulatory enabling for MFIs to expand non-microfinance portfolio, Belstar opened 45 new Gold Loan branches in Q1 to diversify its product base. Muthoot Home Finance AUM grew by 13% year-on-year to INR3,496 crores and profit after tax stood at INR4 crores, marking a 114% year-on-year increase.

Asia Asset Finance, our Sri Lankan subsidiary, posted impressive performance with AUM expanding 51% year-on-year to LKR5,270 crores and profit after tax surging 113% year-on-year to LKR43 crores. Muthoot Insurance Brokers generated a premium collection of INR70 crores and achieved a profit after tax of INR17 crores.

To wrap up, we believe the regulatory changes implemented from April 26 in the Gold Loan industry are structural positive. They strengthen transparency and drive formalization, which favours established trusted players like Muthoot Finance. While our primary Gold Loan business continues to perform solidly, our non-Gold Loan portfolios spanning microfinance, Housing and

Business loans are contributing steadily to our total assets. Coupled with our omnichannel digital framework, we are well positioned to capitalize on India's structural growth opportunities in financial inclusion. Thank you once again for joining us today.

I now open the floor for your questions and look forward to an engaging discussion. Thank you.

Moderator: The first question is from the line of Digant Haria from GreenEdge Wealth.

Digant Haria: Sir, my question is that we've seen a very sharp drop in the yield this quarter, almost something like 300 bps. And a lot of other players which have reported have not really seen yield drop at all. So just wanted to know, like, is this something based on the new strategy that we are targeting to compete with banks? Or what is it? Because this 300 bps seems a little high and not that suddenly competition had gone up in the last 3 months. So just some comments here, sir.

George Muthoot: Yes. Thank you. Yes. The yield in the quarter 4 was 20.76%. And this year, this quarter, it is 17.93%. I agree, there is a drop in the yield due to a variety of reasons like probably we have also reduced our interest rates in this quarter or the yield because of we are giving loans at lower rates also. Higher rates are also there; lower rates are also there. So probably this quarter, some of the lower rate loans would have taken more precedence.

Number two, last year, third quarter and fourth quarter, where we saw 20% yield, was actually a very good year where our recoveries were also very good. There were a lot of loans which got renewed also, renewed and rolled over last year. So, till about last year, there were a lot of renewals and the interest collections, were very good, and that is also factoring into one of the reasons for that. And probably as a steady state, 18 plus/minus maybe 18% to 18.5% should be the normal yield, which we should be looking at going forward also. So, what we have now is 18%, 17.93%.

Probably it will going forward this year also, it should be 18%, etc. So, I think that's a decent yield. What we got last year should be considered as a windfall, onetime. So anyway, we were able to cash in on that. We have got the benefit of that.

Going forward, with the new strategies to grow the Gold Loan book, probably there can be, there is a determined effort to bring down the yield also. So, we have brought down the yield, but AUMs, we will keep pricing hereafter.

Digant Haria: Okay, sir. That was very detailed explanation. Sir, second question is that for this year also, volatile gold prices continue to impact gold loans. Second is that we have these new guidelines, which have started, the 75%, 80%, 85% LTV across life of the loans. So just wanted 2 questions here. One is your opening guidance for FY27, like you generally give 15%. What would you like to give on the AUM side this year?

And then second is that this Gold Loan product has generally been a product where customers don't like to pay monthly interest. It's more been a bullet product for as long as the 15, 16 years I have tracked this. So, at the branches, are we able to drive any change? Do we need to drive any change because the Stage 1, Stage 2 loans actually increased because of this regulation, nothing related to business. So just thoughts on these 2 things, sir.

George Muthoot: Yes. I think you are right in saying that, yes, the regulatory changes. So actually, in the first 2 months, April and towards latter half of May, we were actually bringing in the new product. We were training our staff also for the new product, new rates, new schemes, the 75%, 80%, 85% schemes, etc. And as you rightly said, we need to maybe re-train our staff and the customers to think of paying at least once in a quarter. It's not monthly. Once in a quarter.

I think after some time, we will, we are seeing good response from the customers there, not that everybody is paying monthly, but it's not monthly, in 2 months or 3 months. So that is what we are trying to implement. And I'm sure that will do well. And after May, we have seen very good traction in the AUM growth. And I don't want to give any guidance to that, but we will revise the guidance in the next quarter.

While we are reviewing the next quarter, we will revise the guidance. So, AUM should keep growing. And I said the yield also should be in the range of 18% is what I think it will be in the coming quarters.

Moderator: The next question is from the line of Piran Engineer from CLSA.

Piran Engineer: Congrats on the quarter. Firstly, just on this yield drop thing, I wanted to understand there are no interest recoveries or any one-offs in this interest income number, right? Like last couple of quarters, we were on our top line.

George Muthoot: You are right. A lot of old loans which were there, we were able to recover a lot of interest there. That happened in the last 2, 3 quarters. So, I think those are behind us now.

Piran Engineer: Okay. So, this is a clean interest income number. And we are looking to increase this slightly, as you said, to 18%, 18.5%?

George Muthoot: Yes, I didn't say that we are going to increase, but I think it should settle at that level. It should settle at that level, 18%, 18.5%. Yes, sure.

Piran Engineer: Understood. And just, overall, in terms of disbursement LTV now that the new norms are out, how has our average disbursement LTV changed with these new norms like for the entire disbursements done this quarter?

George Muthoot: Yes. Certainly, very, a certain percentage of the customers are interested in the 85% which is below INR2.5 lakhs. But majority of them still continue to take 75%. That range is what is still the

disbursal rate. Not that everybody is taking 85%, etc. There are some people. So, but then the advantage is that we can offer a bouquet of products and bouquet of choice to the customer.

Somebody wants to pay monthly interest, somebody wants to pay yearly interest, yearly interest also scheme is there. But of course, the LTV will get reduced because you have to factor in the next interest payment, interest dues also for the next 12 months. So many combinations are there.

People have got more choice, and that is why I said it took January -April and May for us to bring out good schemes, etc. I'm sure now the schemes have taken place, and we see good traction. So yes, I think to answer your question, the originating LTV has really not gone up. That's what your question, I suppose.

Piran Engineer: But sir, okay, let me give an example. If somebody wants a 12-month loan, INR2 lakh, at what LTV will you give? Will it be the same if he wants a bullet loan versus an EMI?

Oommen Mammen: No, that is different. So, in case of bullet payment, if it is a 12 months, you have to reduce the interest accrual. So, if it is less than INR2.5 lakhs, 85% minus interest accrual between INR2.5 lakhs and INR5 lakhs.

George Muthoot: Maybe what yield is about 75%, 77% or so.

Oommen Mammen: And interest payment, you will get the 80% and 75%.

Piran Engineer: But given that most of our customers don't pay interest off and on, they don't pay it regularly. So do we just assume that all the loans are bullet loans and then do that 85 minus interest accrual.

Oommen Mammen: So, we have, Piran, we have all the schemes present now. And that's what MD sir was saying that it will take some time for the employees to settle customers also to settle at particular thing. Mostly, we are saying that customers are taking somewhere around 75%.

George Muthoot: So, we have, you can pay monthly interest, you can pay once in 3 months, once in 9 months, once in 12 months. So, we have different schemes. But then LTV will be different in many of these things, if you actually derive something. If somebody is paying, prepared to pay the monthly interest, then if it is a loan is below INR2.5 lakh, he can get all the 85%.

Piran Engineer: Understood. And sir, what would the difference in the interest rate be between a monthly interest loan and a bullet loan as of today?

George Muthoot: No, it is not linked to interest, etc. It is not at all linked. Just because he's agreed to pay monthly or he's paying only once in 12 months, there is no interest difference. But schemes have different interest. It is not based on the repayment promise of 1 month and 3 months and 12 months.

Piran Engineer: Okay. Understood. And just lastly, sir, this quarter, we've again turned around in terms of customer growth. Last 2 quarters, it was declining. What factors do you think led to this pickup in customer count or tonnage growth this quarter?

George Muthoot: Customer count, definitely, newer customers are coming. But tonnage growth is actually what I was always saying, the gold price. When the gold price falls, the tonnage goes up because he has to bring more gold today. If the price is high, he brings only lesser quantity of gold. That's what I have been trying to tell last 4 quarters, but I think people now will start understanding. If the gold price falls, the tonnage will keep on increasing because somebody wants INR1 lakh earlier need to give 10 grams. Now he has to give 12 grams, simple as that.

Moderator: The next question is from the line of Shreepal Doshi from Equirus.

Shreepal Doshi: Sir, my question was on the product side. So, are we still continuing with the Vanilla Gold Loan product or we have also launched new products on the income-generating segment front?

George Muthoot: Yes. I think our CEO was saying that we have different products, monthly interest product, income-generating product, less than INR2.5 lakhs. Actually, today, a bouquet of products are there. And too many people have spoiled for choice today.

Management: No, the income-generating loans just to take advantage of LTV, we have not launched. I think that one may not be the correct way unless we are able to assess the repayment capacity as well as the end use of the product, that may lead to problem. Many companies have started. I believe with the correct way, we will be starting it soon.

George Muthoot: So not just because somebody says is income-generating loan, we can't do an income generation, repayment capacity, etc, and then give. If you bypass that, we will fall in the problem.

Shreepal Doshi: Right, right. Got it, sir. So basically, we will plan to launch there and wherein we can look at end use as well as reevaluate the income. But then in that case, would we also comfortably give higher LTV? Or would we want to prudently manage it at below 85%?

George Muthoot: We also give higher LTV, no problem. So, we assess the 85% LTV and less than INR2.5 lakhs, we take the risk because we see maybe 2%, 3%, 5% of our portfolio will be there. It doesn't matter.

Shreepal Doshi: Right, right. Got it, sir. Got it. Sir, the second question was on the tenure front. So, while you highlighted to the previous participant on the calculation side. But have we brought down the tenure to, let's say, 3 months, 6 months for our gold loan product?

George Muthoot: I think I told you we have a 3-month product. We have a monthly interest product. We have a 6-month product, 9 months and 12 months. People can choose and take. But then when he chooses the longer-term bullet repayment, the LTV has to be recalculated to a lower level. That's it.

Shreepal Doshi: Right. Got it. So then in that case, sir, are we seeing more interest because more interest for shorter tenure and that is why the increase in GS2 as well because it's all interlinked from that recognition standpoint.

George Muthoot: No, no. Our interest calculations are not based on interest rates are not based on that. I think that is not something which is because of tenure base, etc. It is based on many other factors, which I don't want to discuss now here.

Moderator: The next question is from the line of Vasudha Khurana from Aviva Life Insurance.

Vasudha Khurana: Sir, I wanted to check if a rating upgrade is in the offing. Are there any discussions with the rating agencies regarding an upgrade?

George Muthoot: First of all, thank you for attending the call on a Saturday. We work, but I'm happy that some analyst people are also working. So, to answer your question, I think CFO will answer the question.

Oommen Mammen: Glad that you asked. I hope analysts from CRISIL and ICRA are also there on the call. They are listening to it.

George Muthoot: We always have our hopes and our expectations. But again, as Oommen said, it is with the ICRA rating agency, probably we should see good things happening now.

Vasudha Khurana: So, no discussions that have happened and entirely that the management may have had with the agencies regarding this? Or can we expect that sometime in the future?

George Muthoot: Every 6 months, we engage with them. We open our hearts to them. We open everything and show them, but then it takes time for them to also get comfortable and do this.

Moderator: The next question is from the line of K. Sivakumar from ICICI Pension Fund.

K. Sivakumar: Sir, my question is with regards to the increasing competition in the segment. We are seeing of course, we have seen the competition from the banks. We have done that. We have dealt with that in the past. But now increasingly, most of the major NBFCs are also increasingly focused on the Gold Loan segment. So, will there be any change in strategy in-house in terms of interest rates or the way you branch out the network in terms of how you will deal with the increasing competition from other NBFCs?

George Muthoot: Yes. Competition from total NBFC business today is only INR4 lakh crores. Total bank gold loan is INR16 lakh crores. So where is INR16 lakh crores versus INR4 lakh crores. Anyway, from NBFCs, etc, we don't have a separate strategy for any NBFCs.

But with all the competition, whether it is bank or NBFC, we have the same good customer service, quick service and customers generally feel that Muthoot is the right place to come for a gold loan. That is what has been our brand, our strength.

Muthoot has always been in the forefront of marketing or marketing the concept of gold loans. So, people definitely refer to that, feel that this is there. So, competition will come. There is no special strategy for competition. We will do our best.

Our customer service will be the best. We will do all that is necessary. But probably, as I was saying in the beginning also, probably we may see some yield compressions, etc. But then we what we have earlier, maybe 20%, etc, we said it will be around 18% plus. So that's still a decent yield for us because we have the legacy book and legacy portfolio.

The new players who are coming will have to contend with low-interest rate schemes to compete with banks. They have also to compete with banks, to compete with others also. But we, having a legacy portfolio with us, legacy customers with us, we have some advantages there.

So, these are some things which as the quarters go, we will see the fittest will survive and the non-focused people will go. That is what we have always seen earlier also. People who are not fully focused or fully into this have just started a gold loan business.

Just for starting a gold loan business, I don't think they will be able to sustain. But somebody who is keen fully with the gold loan, like Muthoot, probably we have an opportunity there. And let us wait for the next few quarters to see what is going to happen.

K. Sivakumar: Got it, sir. Sir, and in terms of geographical focus, South is still 49% of your total AUM. So, going forward, how much scope of growth do you see from the other more recent areas like, say, the Eastern India and Northern India? Do you still see scope for growth there? Or do you think this is what we can do, the pace of growth in those geographies?

George Muthoot: The gold loan business is growing everywhere. South is just that South, it started much earlier, maybe a few decades earlier, started in South. So, people of South are more prone to gold more comfortable with the gold loan. That comfort is generally catching up in other states also, North, East and West.

Our geographical location of starting a loan, we are present everywhere. There's no place we are not present. It is just that whether we want to add more branches in a place, maybe in Lucknow, we want to add more branches. We will add more branches in Lucknow or Jaipur or Delhi or Jalandhar, etc. So, we have branch there.

We have regional offices there. So, wherever we see a business opportunity, we have an ear to the ground in all these places because we have marketing and salespeople and also our field people working. So, they know where the potential is, and then we open branches there.

There is no geography we have left out. But as you said, South is concentrated more because the business also is more in South. If you look at the statistics of gold loan, 70% of the gold loan business is from South, even for banks. 30% only from all the others.

So, South had a head start in gold loan business, whether it is banks or NBFC, still continues, but there is more potential in both places. So, answering your question, we will be opening branches wherever there is a potential or wherever we see there is scope for getting more new business.

K. Sivakumar: Got it. Sir, and one last question, if I can chip in. What is your plan for Belstar? Because even after so many years, we are still, I think we are under-growing in terms of the potential there. We are just at INR7,800 crores. And now that we are seeing that microfinance segment has stabilized across the country, will you start getting aggressive in terms of loan growth over there?

George Muthoot: To answer first your question, we would want to be aggressive in microfinance. That's the first question. First answer. The second is we would like to have a very calibrated less risky portfolio. And we have actually trained or given instructions to the Belstar team to do microfinance only with selected good quality customers, not just for the sake of microfinance, 1 quarter, you will see doing well. Next quarter, you will see something else happening. After 3 quarters, you will see something else.

So, it is like that. It is a cyclical business. But we have been trying to take advantage or trying to use the facility of the 40% other loans by doing gold loans also there. Today, we have 100-plus branches opened and maybe another 50 in the next 3 months to do exclusively gold loans, and they have started. They are doing well.

So, we'll have a mix of secured lending and unsecured lending. Secured lending as a policy, we would like unsecured lending, microfinance, we would like to give only to better good quality customers, not for the sake of AUM because we don't want to show anybody that we need to do a lot of AUM, etc. If it is low, it is low.

Moderator: The next question is from the line of Raghav Garg from Ambit Capital.

Raghav Garg: I have two questions. One, I was going through your last quarter transcript, which is as of 14th May

George Muthoot: Can you speak a little louder, please?

Raghav Garg: Am I audible now?

George Muthoot: Yes, better.

Raghav Garg: Okay. Sir, I was going through your last quarter transcript, which is as of 14th May. And at that time, you had indicated that you did not see the need to lower your yields from then 20%. So, for your yields to drop 300 basis points quarter-on-quarter, the yields from mid-May to June would have to be lower than 18%. So, is that understanding, correct? And if yes, then can you tell me what is the average yield for the month of June or maybe July? That's my first question.

Oommen Mammen: So, Raghav, there are a couple of things, as MD sir said. Last year was an extraordinary year where we saw the gold prices increasing and top-ups happening. So, where we are able to do most of the recovery collections without needing to give any discounts to the customers or auctioning of large amounts of gold under recovery, etc. So that is one thing.

Then there was NPA accounts, we have, we could collect most of the full income. Third, the ARC investment receipts, the entire principal recovery has happened, the remaining amount was coming into the P&L. Now specifically, the third and fourth quarter, we saw a large amount of renewals happening, especially because the new regulatory regime was kicking in from 1st of April. So, we encouraged also these customers to do rollover, top-ups, etcetera.

So, most of the loans, as you know that we follow a rebate structure. So, a lot of these loans because of their ability to roll over are standing at a lower yield structure currently. Probably they will increase to migrate to a higher levels. So that is an important factor, which have also resulted in the yield lead. Then as MD sir said, some reductions we have done in the first quarter.

Raghav Garg: How much would have the reduction been?

Oommen Mammen: Increased gold prices in the fourth quarter, those incomes are not there in the first quarter. Yes, go ahead, please.

Raghav Garg: No, no. I was just saying that how much have the reductions been? And another related question is that if you can give the yields for June, considering that all of April and half of May was at 20% yield. So, if you can help us with the yields in the June, that will be very helpful.

Oommen Mammen: So, we don't have any bifurcation as for June and you need to understand what led to this. So, these are our reasons why it leads to it. We don't have an exact breakup because of this or what happened in June, etc, what is the interest income.

Raghav Garg: Sure. And the second question is on your cost of borrowings. How much more do you think it can increase from here? Or will it settle here? It's up about 7 bps quarter-on-quarter.

Oommen Mammen: So, I'm not expecting any reductions in the cost of borrowing. It will mostly remain at these levels. Depending upon RBI policies, it might, it can go up. It all depends on how RBI is going to look at revising the benchmark rates.

Raghav Garg: Understood. Maybe another 5, 7 bps, 10 bps, any ballpark number, whatever.

Oommen Mammen: It doesn't matter much in a business where you're generating a 5% plus ROA.

Moderator: The next question is from the line of Rajiv Mehta from Yes Securities.

Rajiv Mehta: Just as you said that there is no interest difference between a customer paying quarterly or paying semi-annually or paying annually. And you said that the pricing will vary across schemes. So, what do you mean by schemes? And what is the pricing range difference across schemes? I mean, on a per month basis or an annual basis? What are the different lending rates or structure that we are offering? And what is the price range right now through the branches?

George Muthoot: Many of these things which you asked is there in our website, but I don't want to go into the granular details of how we collect it on a public forum like this. So, I think that is what...

Rajiv Mehta: Just one clarification. Sir, whereas the customer will pay you quarterly, semi-annual or maybe annually also interest, but the principal payment comes at the end of the term of the loan, right? And the term of the loan remains 12 months.

George Muthoot: We have 12 months loan. We have 9 months loan. We have 3 months loan. We have monthly interest loans also.

Oommen Mammen: EMI also.

George Muthoot: EMIs also. EMI loans also.

Rajiv Mehta: But were these recently introduced or they were always there?

Oommen Mammen: All these things were introduced.

George Muthoot: 1st of April.

Rajiv Mehta: 1st of April. Okay. Yes, yes. And just lastly, just to focus back on volume growth because maybe the gold prices are stable and maybe I can see that there is a good pickup in customer acquisition, old customer reactivation. What is driving, I mean, how are you driving your branches to acquire more customers, retain old customers? Because I'm sure there will be a lot of pressure on competitors also to take over your customer. So how are we driving our branches to ensure that we get good volume growth in a year when the gold prices could be largely stable?

George Muthoot: Most of these are internal strategies. We have strategies to retain our customers. We have strategies to get customers, etc. Again, we'll have to only demonstrate that in our performance. And I'm sure going forward also. See, you saw the gold price coming down and still the AUM going up. So, it is not a function of the gold price that the business is growing. The business is growing because there is need for funding.

So that is something which I have been telling for the last several quarters, but people sometimes refuse to understand that, refuse to understand that. So, it is not just because I have a high gold price, I'm going to borrow big money. I'll borrow only if I feel that I can repay it. Otherwise, he'll send it off. So instead of selling if he is borrowing, he is wanting to repay. So, we have our strategies for all these things, all these competitions, etc. And I'm sure in the next quarter, you'll see good growth in AUM sourcing.

Moderator: The next question is from the line of Nidhesh Jain from Investec.

Nidhesh Jain: First question is on LTV. What is our LTV as of June, including accrued interest?

Oommen Mammen: So, it will be around 65% or 66%...

George Muthoot: 66.68%, 66%.

Nidhesh Jain: Okay. This includes accrued interest also, right?

Oommen Mammen: Yes.

George Muthoot: Yes.

Nidhesh Jain: Okay. And second is, what gives you confidence that our yields will be stabilizing at 18%? Because in 1 quarter, we have seen 300 basis point decline in yields. And I believe that in 1 quarter, the entire book would not have come for renewal. So, the large part of the book, say, 40%, 50% of the book will still come for renewal in coming quarters.

So, what gives you confidence that it will stabilize at 18% only when the new-old book, which is at, let us say, 22%, will come for renewal. That is one. And what is the incremental yields in quarter 1 when we have disbursed the loans, what is the incremental yields on those loans?

George Muthoot: So, I think, as I said, generally, the yield will be 18%, 18.5%. Incremental yields are a basket of yield. We have higher yield also, we have lower yield, etc. What gives me confidence is just my experience in the last 35 years in this company with gold loan. It gives me the experience to say what will happen, what will be the things, etc. So that's what I should be referring to here.

Oommen Mammen: So, Nidhesh, fourth quarter, as I said earlier, there have been a very large amount of renewals. Now one need not be too much concerned about in the new scenario because we are rolling out mostly the shorter end schemes. Suppose because it's a shorter end, we can always reprice at a shorter interval. So that flexibility we are having. And based on that, we are fairly looking at the yield range of 18% to 18.5%.

Nidhesh Jain: Sure, sir. And if you can share the data on incremental yields on gold loans for quarter 1, that would be helpful.

George Muthoot: The yields this quarter was 17.93%, last quarter, 19.56%. Previous to that, 20.76%. Previous to that, 20.16%.

Oommen Mammen: So, the current yield structure on gold loan schemes, as MD sir said, it is there in the website. We have a number of products and the pricing for that.

Nidhesh Jain: Sure, sure, sir. And sir, last question is how many, what percent of disbursements are happening at 85% LTV, a ballpark number?

George Muthoot: Very low, maybe 5% or so, 4% to 5%. See, again, the answer is the same. Everybody just doesn't borrow just because the price is there. They borrow only to the extent of what they feel they will be able to repay. That is what people borrow. Otherwise, they will go and sell this gold. Isn't it better to sell the gold than take 75% or 70% or 85%. So, 85% your answer, 85% has just started, maybe 3%, 4%.

Oommen Mammen: 3%, yes.

Moderator: The next question is from the line of Gaurav Khandelwal from JP Morgan.

Gaurav Khandelwal: I'm relatively new to the company, sir, but I'm just trying to understand, in the last 20 years, the mix of loans in South region has come down from 84% to almost 50% now. Where do you look at this going in the next 5 to 10 years? And if I can also get your views on do you think that the penetration rates of gold loans in Southern India are high and hence, there is a need to shift to North or East or West or any other part outside of South? Or is it just a function of getting more business in other regions? So just wanted your thoughts around that, sir.

George Muthoot: I think I answered that question earlier also saying that South, the concept of gold loan was there much earlier than in North India or people were aware of gold loan and people started using gold loan as a product, maybe a few decades, corporatized gold loans may be much earlier. So that is why there is a head start in South India. But Northeast and West is definitely catching up.

And again, the credit should go to Muthoot for marketing the concept of gold loan in other than South. We were the pioneers in this. We were the people who introduced the gold loan as a business loan proposition to North India. Today, North India is also having a lot of business. So, there is potential there. South India is only 1/4 of India. 3/4 is Northeast and West. So, there is always potential there.

So, whether we will stop opening branches in South India? No, because South India still has a lot of gold loan potential, and there is scope for more people. North India definitely is less penetrated. It needs a little more concept selling also in newer places. So, when concept selling also happens much better, Northeast and West will also start doing better.

Gaurav Khandelwal: Got it. So, is it fair to say that in the next 5 to 10 years, there's some degree of possibility that the 50% South mix goes down to maybe 40% or even lower?

George Muthoot: How does this 50% or 60% of North India matter, sir?

Oommen Mammen: See, Northeast and West is a larger geography. South is 1/4

George Muthoot: 1/4.

Oommen Mammen: Yes, it's only one fourth. So, it is not that South absolute loan amount has come down. Loan amount has grown up, but Northeast and West has grown larger.

George Muthoot: It's a concept. when people start accepting gold as a concept, gold loan as a concept, it will all pick up in North India also.

Gaurav Khandelwal: Got it. And my second question is, what is something on regulations or competitions that keeps you the most worried about business?. Banks have always been there and you've been competing with them for many decades now. But what are top 1 or 2 things top of your mind, which keeps you worried about the business?

George Muthoot: There is nothing, there is no single thing, etc, keeps worried. It is just that we need to do better and better. We need to be one step ahead of everybody, competition. And more than being one step ahead, we need to continue to get the customer's trust. This is a trust business. So, we should continue to get the trust of the customers, then everything else is passing. Everything else is simple then.

Moderator: The next question is from the line of Kushan Parikh from Morgan Stanley.

Kushan Parikh: A couple of data point questions. if you could provide us the loan mix by ticket size as well as the auction number for the quarter? And my second question is on your branch addition plans. So, I see that we have added about 60 branches in the first quarter at the stand-alone level. If you could just lay out your branch addition plans for the stand-alone business for the full year as well as for Muthoot Money.

Oommen Mammen: So, the ticket size above INR3 lakhs is 38%, INR1 lakh to INR3 lakh is 35%.

George Muthoot: And the branches we opened its 85 branches. Probably in this year, we should be opening another 500 to 600 branches overall in the group.

Kushan Parikh: And specifically for stand-alone, if you could tell us, sir?

George Muthoot: Standalone means Muthoot Finance?

Kushan Parikh: Yes, Muthoot Finance.

George Muthoot: Maybe 200, 250 branches.

Moderator: The next question is from the line of Bharat Shah from BCS Capital Idea Private Limited.

Bharat Shah: Very clearly, competitive conditions have become far more intense than you might have probably felt that way only a few months back because the yields have come down, the architecture of the products is dramatically altered at our end. And all of that seems to suggest that the competitive conditions probably have been more intense than you might have budgeted.

And when I look at even just the last quarter numbers, where we reported INR3,400 crores of net profit, while our asset base has grown from the last quarter from INR182,000 crores to INR191,000 crores, but profits have come down by almost 16%, 17%. And the profit of this quarter is equal to what we reported in December quarter at INR2,825-odd crores. So am I to understand that probably the current year overall is likely to be a bit of a washout as far as our performance is wash out in the sense of achieving any meaningful growth, not wash out in any other sense, but any meaningful growth in the bottom line in the current year looks unlikely as I see it.

George Muthoot: I think you have given the question and the answer also. You said the question, you said the answer also.

Bharat Shah: I want the confirmation whether I'm thinking correctly or wrong.

Oommen Mammen: See, don't use the word washout. The company has made a profit of INR 2,500 crores, which is almost like 6% ROA. How many companies in India is making that kind of ROAs. Still it is better. I think in the initial questions, we explained in detail what led to that comparative profit quarter-on-quarter.

But from last year, we have suddenly there is an increase of almost 25% on profits. We explained to you what are the reasons which is leading to a quarter-on-quarter decline because last year was an extraordinary year and quarter. So that explains this.

And we also hear the reasons of renewals, etc, happened in the last quarter, especially large amount of renewals has happened, which is leading to the loans almost remaining at a lower slabs for a major portion of the quarter and the shorter duration, so which is leading to a lower interest income. And I think we are fairly, those extraordinary incomes are not going to be present in the current year. So, I think we are fairly comfortable with an interest yield of around 18%, 18.5%, which can generate a good decent ROA.

Bharat Shah: No, let me rectify myself. I use completely wrong word washout, and I quickly corrected that washout more in the sense of achieving growth. Over 20 years that I've seen Muthoot Finance, and

I've been observing it year after year, it has consistently produced a meaningful growth in the band of 15% to 20% over year after year over a 20-year period that I've seen.

And this current year probably looks to me that given the sharp drop in the yield, that probably current year may not produce any meaningful growth in the bottom line. In that sense of achieving any meaningful growth in the bottom line, I used that word, but I stand corrected. I didn't mean washout in any other sense, but that the profitability, the absolute profits probably may not grow by a single digit is what it looks like to me in the current year.

Oommen Mammen: We don't give any profit guidance. What we generally give a guidance of AUM growth because profits are secondary for us. For us, loan growth is the primary factor. We believe that profits will follow. So, we have given a guidance of 15% because considering that last year, we had a good growth.

We also expect some revision to happen after the half yearly results. So, let's review the growth numbers we achieved till September end. And then accordingly, we can give a revised guidance if it is needed.

Bharat Shah: 15% from June base, you are saying?

Oommen Mammen: March 26 onwards.

Bharat Shah: From March 26 to 15%. So roughly about INR210,000 crores or higher.

George Muthoot: I don't know about the figures, sir.

Oommen Mammen: No, we had INR150,000, 15% means it's almost like INR17,000, INR18,000.

Bharat Shah: No, no. I mean our asset base was INR182,000 crores as on March 26. So, 15% will mean about INR210,000. I'm talking consolidated.

George Muthoot: Okay, okay. Anyway, 15% is 15%.

Bharat Shah: Okay. And which means we probably expense characteristic and cost of fund you clarified already. Therefore, the pattern probably in the quarters ahead will replicate based on the size of the business I think similar to what we have seen in June. That will be a fair assumption to make, right?

Oommen Mammen: So that's what I said. No, we don't generally get into the profit guidance. We give a growth guidance. Let's see how that is panning out.

Moderator: The next question is from the line of Abhijit Tibrewal from Motilal Oswal.

Abhijit Tibrewal: Sir, as you would have seen all the participants who are there on the call today, for the last few quarters, you were all just trying to understand what is really happening on the yields? How much is the recoveries in the interest income that we were reporting. And I think, I mean, last 3 quarters, 4 quarters, we were all struggling given the expansion in yields, which you have explained already that there were recoveries and also explained there were renewals last quarter and which is why the loans are sitting at a lower rate given the rebate structure that you follow.

So, sir, I mean, again, just a humble request from my side, we are the largest gold loan company almost a INR1.25 trillion market cap. So, I think that's a fair ask when we asked you that what are the clean yields, gold loan yields, which were there for the last 2 quarters and what are the clean gold loan yields this quarter? So, if you just articulate that for all of us, that will be very useful for everyone on the call.

Oommen Mammen: So, I think we gave the yield is up, 17.93%.

George Muthoot: This year. The yield is 17.93%. Last quarter, it was 19.56%. Previous year, it is 20.76%. Previous year, that is 20.16%. That's the yield. So, this year, the yield is 17.93%. So, this quarter, sorry.

Abhijit Tibrewal: So, sir, all the numbers that you said just now, do they include the recoveries as well? Or are these clean gold loan yields without any recoveries?

George Muthoot: It's all with recovery. What is recovery I didn't understand.

Abhijit Tibrewal: Which is where I'm asking. Sir, recoveries from the NPA loans where you were able to recover the overdue interest.

Oommen Mammen: At different points of time, NPA recoveries happens, rollovers when it happens, if it is at a higher slab, those recoveries happens.

George Muthoot: The overall recoveries happened last year.

Oommen Mammen: ARC receipts, whatever is over and above that happens. Auction, whatever has happened.

George Muthoot: All those are included in the yield.

Oommen Mammen: Top-up charges we collect, that also included. That also will come in. So those kinds of situations are not there in the first quarter. And additionally, we have also fine-tuned some of the rate structure in the light of the new regime. To that extent, there could be some impact also.

George Muthoot: So steady state, we expect 18% to 18.5% yield, steady state.

Abhijit Tibrewal: Got it, sir. Got it. And sir, which is where, I mean, I am at least finding it a little difficult to understand that despite whatever recoveries we had over the last few quarters, how can yields decline by maybe 200 to 300 basis points in 1 quarter?

Oommen Mammen: What you need to understand is these are not long-term fixed rate contracts. These are all short-term contracts. So there, it all depends on and we are dealing with 100,000 customers a day. So there, these loan cycles are very short. And added to that, these kinds of fluctuations impact the yield.

Now as I said, profit is secondary for us. The loan growth is important and how we take care of the customers. So, to that extent, we follow different policies at different points of time, which will have an impact on the yield. But we believe that 18% yield is something maintainable.

Abhijit Tibrewal: Got it, Oommen sir. And then the last question that I had was, I mean, just trying to understand whatever I heard on this call until now, are we now planning to reaching the high competitive intensity, which is there.

George Muthoot: We can't hear you. Your Voice is...

Oommen Mammen: Can you repeat the question? There was a break in between.

Abhijit Tibrewal: Is it better now?

Oommen Mammen: Yes.

George Muthoot: Yes. Now we can hear you. Just repeat the question. Last question.

Abhijit Tibrewal: Yes, sir. So, all I was just trying to understand is, sir, I mean, whatever I have heard on this call, somewhere, I think that we are now acknowledging the high competitive intensity, which is there. And I think, I mean, last couple of quarters, we've all been asking and to that end, whatever changes you have done on the interest rate structure, are you planning to aggressively compete now?

The only thing here is that I heard MD sir say that let's see who is the fittest to survive, let us wait for a few more quarters. Just trying to understand, can we in the next 2 to 3 quarters, get to a point where everyone, every gold loan lender in the country starts cutting rates on gold loans. And you'll remember that time between maybe December 2022 to June '23, where for us also the yield had declined by about 350 basis points. So, can we get to a point in the next couple of quarters if everyone starts competing aggressively?

Oommen Mammen: Quite possible. There could be a situation where everyone drops their rates, etc. There is certainly a possibility there, but we have our benchmark. And even with these rates, we have been able to generate a growth this quarter of almost 6%. That is about INR9,000 crores of growth.

Abhijit Tibrewal: Yes, sir. And sir, lastly, I think just a data keeping question. You had shared the mix of gold loans by ticket size. My line was not good. So, if you could just repeat that for Q1 and Q4 and the auctions number, please?

Oommen Mammen: So above INR3 lakhs. So, March '25, it is 38% above INR3 lakhs and INR1 lakh to INR3 lakh is 35%. June.

Abhijit Tibrewal: The number that you said now for March '26.

Oommen Mammen: Sorry, sorry, just a second. Sorry, I think June '26, I think above INR3 lakhs is 69%. INR1 lakh to INR3 lakhs is 22%. Sorry, earlier number we gave was wrong.

Abhijit Tibrewal: This was June '26, sir. And what is March '26?

Oommen Mammen: March '26 is 51%. Above INR3 lakhs is 51% and INR1 lakh to 3 lakh is 30%.

Abhijit Tibrewal: Got it. And the auctions number?

George Muthoot: Negligible. This quarter.

Oommen Mammen: No, it's very, negligible.

Moderator: That was the last question for today. I now hand the conference over to the management for the closing comments. Thank you, and over to you, sir.

George Muthoot: Thank you, well-wishers and investors for attending the call today on a Saturday evening. So, wish you all the best. And from our side, we will ensure that the company runs well, the company makes adequate business, company makes adequate profit and all stakeholders are kept happy.

So that is our job, and we will continue to do that certainly with blessings of everybody, including you, the analysts who generally give us good guidance and good information sources. So, appreciate that. And goodbye from the management team, and good day to all of you.

Moderator: On behalf of DAM Capital, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.